

Multiple Choice

1. **Answer:** C

Options: A) John Kenneth Galbraith; B) John Maynard Keynes; C) Milton Friedman; D) Alfred Marshall

Note: Milton Friedman championed individualism by advocating for free-market principles and the belief that individuals should have the autonomy to make their own economic choices, which aligns with his broader moral philosophy of personal freedom and minimal government intervention.

2. **Answer:** D

Options: A) Basing the price on what the customer is willing to pay; B) Basing the price on the psychological expectations of the customer; C) Basing the price on the features and benefits of the product; D) Basing the price on the full cost of production plus the required profit

Note: The correct answer is based on the concept of cost-based pricing, which involves setting a product's price by calculating the total production costs and adding a desired profit margin, thereby ensuring that all costs are covered while achieving profitability.

3. **Answer:** B

Options: A) Group influence.; B) Ethnic marketing.; C) Social grade.; D) Lifestyle.

Note: Bollywood cinema exemplifies ethnic marketing as it specifically targets audiences from the Indian sub-continent and its diaspora by incorporating culturally relevant themes of love and ethics alongside a familiar musical format.

4. **Answer:** C

Options: A) Reputation; B) Impact; C) Familiarity with subject or issue; D) Ability to reach people

Note: The correct answer is "familiarity with subject or issue" because effective opinion leaders in public relations campaigns are typically chosen for their credibility, influence, and ability to engage audiences rather than their specific knowledge of the subject matter.

5. **Answer:** A

Options: A) Classical conditioning.; B) Operant conditioning.; C) Social learning.; D) Behavioural learning.

Note: Providing free samples of perfumes in magazines exemplifies classical conditioning because it associates the pleasant scent of the perfume with positive feelings experienced by the consumers, thereby creating a conditioned response that encourages future purchases.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: Pure price bundling is characterized by the sale of two or more products or services together at a single price, which emphasizes the combined offering rather than pricing them individually.

7. **Answer:** False

Options: A) True; B) False

Note: Compromising is not always optimal for both parties because it often involves each party conceding some of their goals or interests, rather than achieving the best possible outcome for each side.

8. **Answer:** True

Options: A) True; B) False

Note: Frank Gilbreth is recognized for his significant contributions to the development of time and motion studies, which aimed to enhance productivity and efficiency in various work environments.

9. **Answer:** True

Options: A) True; B) False

Note: The statement is true because the experience economy emphasizes that businesses must create memorable and meaningful experiences for customers, which significantly impacts consumer behavior and overall societal values.

10. **Answer:** True

Options: A) True; B) False

Note: Telecommuting is defined as a work arrangement that allows employees to perform their job duties remotely, often from home, rather than commuting to a physical office, which aligns with the statement provided.

Long Form Response

11. **Answer:** Solis and Breakeyridge introduced the term PR 2.0 to reflect the significant transformation in public relations practices brought about by new media. The advent of social media platforms, blogs, and instant communication tools shifted the dynamics of how organizations interact with their audiences, moving from a one-way broadcast model to a more engaging, two-way conversation. This evolution necessitated a reinvention of traditional PR strategies, emphasizing transparency, responsiveness, and audience engagement. Furthermore, the accessibility of new media enabled stakeholders to become active participants in the dialogue, thereby demanding more authentic and interactive communication from brands. Consequently, PR 2.0 encapsulates the integration of these new media elements that redefine the role and practice of public relations in the digital age.

Note: correct because it accurately identifies how the rise of new media transformed

public relations from a one-way communication model to an interactive dialogue, prompting a need for updated strategies that prioritize engagement, transparency, and responsiveness.

12. **Answer:** Low-contact services are characterized by minimal interaction between service providers and customers, often relying on technology or self-service options to facilitate transactions. This model significantly impacts customer experience, as it can enhance convenience and efficiency while potentially reducing personalization and emotional connection. For instance, online banking and automated customer service systems exemplify low-contact services that streamline processes but may lead to customer frustration if users encounter issues without direct support. Consequently, businesses must carefully balance the efficiency gains of low-contact services with the need for customer satisfaction, ensuring that service delivery remains effective and responsive to consumer needs. By leveraging technology wisely, companies can maintain a competitive advantage while fostering positive customer relationships.

Note: correct because it accurately identifies low-contact services as those with minimal provider-customer interaction, discusses their reliance on technology for efficiency, and explores the resulting impacts on customer experience, including both advantages and potential drawbacks.